

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1992

By: Hall of the Senate

and

Caldwell (Trey) of the
House

6
7
8
9 An Act relating to income tax; amending Section 1,
10 Chapter 340, O.S.L. 2022, as amended by Section 1,
11 Chapter 164, O.S.L. 2024 (68 O.S. Supp. 2025, Section
12 2357.105), which relates to income tax credit for
13 qualified project expenditures; defining term;
14 requiring the Oklahoma Department of Commerce to
15 promulgate certain rules; and providing an effective
16 date.

17 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

18 SECTION 1. AMENDATORY Section 1, Chapter 340, O.S.L.
19 2022, as amended by Section 1, Chapter 164, O.S.L. 2024 (68 O.S.
20 Supp. 2025, Section 2357.105), is amended to read as follows:

21 Section 2357.105. A. As used in this section:

22 1. "Eligible entity" means an entity incorporated and located
23 in the state with a qualifying project in a qualifying project
24 location;

25 2. "Qualifying project" means the new construction or expansion
26 of an eligible entity or the development of qualified initial

1 infrastructure to serve an eligible entity in a qualifying project
2 location;

3 3. "Qualifying project location" means a project located in an
4 industrial park, economic development zone, or port located within a
5 county in this state with a population of less than one hundred
6 thousand (100,000) persons ("Qualified Area"), or a project located
7 adjacent to a terminal, switching, or Class II or III railroad as
8 defined by the federal Surface Transportation Board;

9 4. "Project sponsor" means a local economic development
10 organization or authority, port authority, qualified industrial
11 park, or a terminal, switching, or Class II or III railroad;

12 5. "Project application" means an application submitted by a
13 project sponsor on behalf of a qualifying project for an allocation
14 of qualifying strategic industrial development enhancement (SIDE)
15 tax credits. Project applications must include a description of the
16 qualifying project, project location, detailed project costs, and a
17 summary of expected economic benefits and job creation;

18 6. "Qualified economic development expenditures" means
19 expenditures for land improvements, building construction, building
20 improvements and expansion, port terminal improvements, and the
21 purchase of certain machinery and equipment;

22 7. "Qualified initial infrastructure expenditures" means
23 expenditures for new rail infrastructure and improvements, which
24 includes the acquisition of right-of-way, engineering,

1 rehabilitation of existing inactive track to reinstate operation,
2 construction of new track such as industrial leads, switches, spurs,
3 and sidings, loading dock improvements, and transloading structures
4 involved with providing rail service to a qualifying project; ~~and~~

5 8. "Project tax credit amount" means the amount of tax credits
6 allocated by Oklahoma Department of Commerce to a qualifying project
7 for qualified economic development and initial infrastructure
8 expenditures; and

9 9. "Strategic finance partner" means any entity, regardless of
10 legal form, that provides capital to a qualifying project. Capital
11 contributions may include, but are not limited to, cash, loans,
12 guarantees, other financial instruments, or services that support
13 the eligible entity in the completion of a qualifying project. A
14 strategic finance partner shall be subject to the Oklahoma corporate
15 or individual income tax to qualify as a qualifying project
16 affiliate.

17 B. For tax years beginning after December 31, 2022, and ending
18 not later than December 31, 2027, there shall be allowed a credit
19 against the tax imposed pursuant to Section 2355 of this title in an
20 amount not to exceed ten percent (10%) of an eligible entity's
21 qualified economic development expenditures, subject to limitations,
22 determination, and allocation by the Oklahoma Department of
23 Commerce.

1 C. The total project tax credit amount may not exceed ten
2 percent (10%) of the qualified economic development expenditures,
3 except for qualified initial infrastructure expenditures the project
4 tax credit amount is earned at the rate of fifty percent (50%) of
5 qualified initial infrastructure expenditures.

6 D. 1. The project tax credit amount for qualified economic
7 development expenditures may not exceed Six Million Dollars
8 (\$6,000,000.00) per qualifying project.

9 2. The project tax credit amount for qualified initial
10 infrastructure expenditures may not exceed Three Million Dollars
11 (\$3,000,000.00) per qualifying project.

12 Projects are eligible to combine qualified economic development
13 and qualified initial infrastructure expenditures, but the total
14 project tax credit amount may not exceed Six Million Dollars
15 (\$6,000,000.00) per qualifying project in aggregate.

16 E. The issuance of the project tax credit amount shall be
17 subject to review of eligible expenditures and qualifying project
18 status by the Oklahoma Department of Commerce.

19 F. The credits authorized pursuant to this section may not be
20 used to reduce the tax liability of the taxpayer to less than zero
21 (0).

22 G. The credits allowed pursuant to this section that are not
23 used may be assigned to a qualifying project affiliate by written
24 agreement at any time during the tax year in which the credit is

1 earned or the five (5) years following the tax year the qualified
2 expenditures are incurred. For purposes of this subsection, a
3 "qualifying project affiliate" shall include a customer, vendor,
4 project investor, or strategic finance partner of the eligible
5 entity subject to the Oklahoma corporate or individual income tax.
6 The eligible taxpayer and the qualifying project affiliate must
7 jointly file a copy of the written assignment agreement with the
8 Oklahoma Tax Commission within thirty (30) days of the assignment.
9 The written agreement must contain the name, address, and taxpayer
10 identification number of the parties to the assignment, the tax year
11 the eligible taxpayer incurred the qualified expenditures, the
12 amount of credit being assigned, and the tax year or years for which
13 the credit may be claimed.

14 H. To the extent not used, the tax credit authorized by this
15 section may be carried over, in order, to each of the five (5)
16 subsequent taxable years.

17 I. Credits allocated by the Department shall not exceed Twelve
18 Million Dollars (\$12,000,000.00) in a tax year. Qualifying projects
19 that have submitted an application and are not allocated all or part
20 of credit for qualified economic development expenditures or
21 qualified initial infrastructure expenditures shall be eligible for
22 credit in subsequent tax years.

23 J. 1. The Oklahoma Tax Commission may promulgate rules, forms,
24 and regulations as are necessary to implement and administer the

1 provisions of this section and certify the tax credit amount
2 generated by each qualifying project annually.

3 2. The Oklahoma Department of Commerce shall promulgate rules
4 to permit verification of the eligibility of a qualifying project
5 for the purpose of claiming the credit. The rules shall provide for
6 the approval of qualified economic development expenditures prior to
7 commencement of a project, provide for the approval of a strategic
8 finance partner, and provide a certificate of verification upon
9 completion of a project that uses qualified economic development
10 expenditures. The certificate of verification shall satisfy all
11 requirements of the Oklahoma Tax Commission pertaining to the
12 eligibility of the eligible taxpayer claiming the credit.

13 SECTION 2. This act shall become effective November 1, 2026.
14

15 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
16 04/08/2026 - DO PASS.
17
18
19
20
21
22
23
24